

For self-insured plan sponsors

5 Formulary Questions Your PBM Avoids

- A swipe-through • 7 cards

01

Question one of five

*What changed on our
formulary last quarter, and
why?*

*Standard quarterly reports show YTD spend,
generic dispensing rate, and mail-order
penetration.*

*None of those tell you what moved on the
formulary last quarter.*

*Drug-by-drug tier movement, with rationale,
is the line that surfaces revenue-driven
changes.*

02

Question two of five

Which drugs were added or removed because of rebate contracts?

Formulary changes are almost never explained as rebate-driven; they're explained as clinical or utilization-based.

The actual answer is in the rebate contract. If your PBM cannot map formulary changes to specific rebate agreements, the answer is yes.

03

Question three of five

What is the net cost of our top 10 drugs after all rebates and fees?

The single most diagnostic data ask in pharmacy benefits.

Standard quarterly reports show aggregate rebate dollars passed through.

Drug-level net cost (list price minus all rebates, fees, and pass-throughs, by NDC) is rarely produced unless it's contractually required.

04

Question four of five

Which formulary tier decisions are overridden by the rebate aggregator?

Most plan sponsors don't know their PBM uses a rebate aggregator.

Most contracts allow the aggregator to influence formulary placement in ways the plan sponsor cannot trace.

The answer to this question often surfaces a structural conflict the plan inherited without notice.

05

Question five of five

What is our therapy abandonment rate on step-therapy drugs?

The clinical question buried inside the formulary economics question.

When step therapy requires members to fail cheaper alternatives before reaching the drug they need, abandonment goes up.

Plan saves on per-script cost. Plan loses on adherence, downstream medical, and member access.

Ask the questions your PBM hopes you don't.

We review 100s of PBM contracts annually at PBS.

The strongest contracts require the answers to all five as standing quarterly deliverables.

The weakest don't require any of them.

Free resource
PBM Contract Language Library
benefitblindspots.substack.com